have seen that value stocks have exhibited higher rates of return than growth stocks with less observable risk. This phenomenon is not unique to the U.S. market. Small and value premiums have occurred in markets all over the world.

There have been many explanations for the value effect in the market, although no one has pinpointed the exact reasons. Some say that the value premium was a result of the overly pessimistic earnings outlook for the value companies provided. Others say that undercoverage by stock analysts is a factor. Wall Street survives on investment banking fees, and it don’t care much for unglamorous companies that are not issuing stock.

Whatever the reason for the value premium, it is assumed by most academics that value stocks have additional fundamental or economic risk. This risk is the reason value stocks have earned higher returns according to Eugene Fama and Ken French, whether this risk has been picked up in the standard deviation of returns or not.

We turn our attention to a small segment of the stock market that has both a size premium and a value premium. The category of small-cap value represents approximately 3 percent of the capitalization of the broad U.S. market. Table 6-8 documents small-cap value returns.

As expected, with both size and style factors affecting the return of this niche category, the year-over-year performance of small-cap value stocks deviates substantially from the performance of the large stock heavy total stock market.

TABLE 6-8

The Difference in Rreturn between the Total Market and Small Value Stocks